

[*326] *50. **Existing mortgages.**—Where trustees and executors are empowered by will to lay out money upon *real securities*, they are authorised in *continuing* it upon existing mortgages (*a*); but the trustees should first satisfy themselves as to the sufficiency of the security.

[51. Where trustees are authorised to “continue to hold” special investments, the power must, *prima facie*, be held to apply to those trusts which are continuous, and the trustees may appropriate to a special continuous trust any of the investments which the settlor has authorised to be held (*b*).]

52. **Fowler v. Reynal.**—If trustees have a power of lending to *three* on a mortgage of their joint interest in a particular property, they cannot lend to *two* of them. Neither can the trustees lend to the *three* without taking any security at the time, though after an interval of two years they succeed in obtaining the security. It is no excuse to say that the delay in taking the security did not occasion the loss. The answer is, that the terms of the power were not complied with (*c*).

53. **Road bonds.**—Road bonds, or mortgages of tolls and toll-houses, are *real securities*, though they may not be eligible *real securities*; and where a testator, having road bonds, empowered his executor to *leave* any part of his assets on existing “*real securities*,” it was held that they were not bound to call in the road bonds, but might exercise a discretion. The Court, however, gave no opinion whether the executor would have been justified in lending trust money on road bonds as an original investment (*d*).

54. **Railway mortgages.**—It has since been determined, that a power to lend on *real securities* does not authorise a loan upon *railway mortgages* (*e*), and *a fortiori* a power to invest “upon the security by way of mortgage of any freehold, copyhold, or leasehold hereditaments,” does not

108; Crosskill v. Bower, 32 Beav. 86;
Fletcher v. Green, 33 Beav. 426.

(*a*) Angerstein v. Martin, T. & R.
239; Ames v. Parkinson, 7 Beav.
379.

(*b*) Fraser v. Murdoch, 6 App.
Cas. 855.]

(*c*) Flower v. Reynal, 3 Mac. & G.
500; 2 De G. & Sm. 749.

(*d*) Robinson v. Robinson, 1 De G.
M. & G. 247; [Cavendish v. Caven-
dish, 24 Ch. D. 685.]

(*e*) Mant v. Leith, 15 Beav. 525;
Harris v. Harris (No. 1), 29 Beav. 107.